Subject: RE: Reliance, Inc. Renewal- $10M xs $130M Side-A DIC
Date: Wednesday, September 24, 2025 at 3:40:27 PM Central Daylight Time
From: Mongiello, Michelle
To: Haran, Richard
Attachments: image009.png, image010.png, image011.png, image012.png, image013.png, image014.png, image015.png, image016.png, image017.png, $10M xs $130M LM Quote- Reliance, Inc. 2025.pdf, 08_END_001_Reliance_Inc_2025_TBD_ADM-OFAC-0419_-_Sanction_Limit_3718.docx, 08_END_002_Reliance_Inc_2025_TBD_TRIA-N004-0420_Disclosure_–_Te_3718.docx, 08_END_003_Reliance_Inc_2025_TBD_TRIA-E002-0315_Cap_on_Losses_F_3718.docx, 08_END_004_Reliance_Inc_2025_TBD_EXCEND084_1015_Reinstated_Limi_3718.docx, 08_END_005_Reliance_Inc_2025_TBD_EXSEND011_0911_Non-Follow_Form_3718.docx, 08_END_006_Reliance_Inc_2025_TBD_EXCEND068_1114_A-Side_DIC_Foll_3718.docx, 08_END_007_Reliance_Inc_2025_TBD_EXCEND066_1114_Most_Favorable__3718.docx, 08_END_008_Reliance_Inc_2025_TBD_IRONENDALL015_0613_General_End_3718.docx, 06_POL_Reliance_Inc_2025_TBD_EXC004_Edited_071207_Excess_Li_3718.docx

Hi Rick,

Aon LA just reached out as they are up to our layer. I spoke with the broker yesterday and she said she was pushing for the remaining underlying Side-A to come in flat, which did not happen. I knew the Lead Side-A was going to push rate, but she advised that they would be targeting the remainder of the excess to come in flat. They also pushed some rate and I think we should match the underlying and come in at a 100% like last year. I know it is only $1k, but we are already below minimums and would like to push for a bit more rate. I would hope we wouldn't get push back from Aon, especially with the entire underlying Side-A getting some rate. We do have a $17M+ LM relationship with Reliance so I wouldn't want to rock the boat for $1k but it would be unfair if everyone else got an increase. Aon did recognize the ABC being thin, hence the increases there this year.

I propose coming in at $26k and if I were to get pushback, I'd look to go in flat, although not ideal. Please let me know your thoughts. Quote docs are attached at $26k for your review/approval. No change to T&C YOY.

Account Name:	Reliance Steel & Aluminum Co.						
Policy Period:	10/01/2024-10/01/2025						
Carrier	**Limit (MM)**	**XS (MM)**	**Premium**	**RPM**	**ILF**	**ROL**	**ROP**
Great American	$10.0	$2M SIR	$198,015	$19,802	N/A	0.0198	N/A
Zurich	$10.0	$10.0	$105,000	$10,500	53.03%	1.05%	53.03%
Allianz	$10.0	$20.0	$65,500	$6,550	62.38%	0.66%	33.08%
CNA	$10.0	$30.0	$42,850	$4,285	65.42%	0.43%	21.64%
Old Republic	$10.0	$40.0	$38,415	$3,842	89.65%	0.38%	19.40%
Everest	$10.0	$50.0	$35,966	$3,597	93.62%	0.36%	18.16%
Arch	$10.0	$60.0	$35,000	$3,500	97.31%	0.35%	17.68%
Canopius	$10.0	$70.0	$34,000	$3,400	97.14%	0.34%	17.17%
Markel	$10.0	$80.0	$34,000	$3,400	100.00%	0.34%	17.17%
Swiss Re	$10.0	$90.0	$34,000	$3,400	100.00%	0.34%	17.17%
Chubb- Lead Side-A	$10.0	$100.0	$34,000	$3,400	100.00%	0.34%	17.17%
Travelers	$10.0	$110.0	$26,279	$2,628	77.29%	0.26%	13.27%
AWAC	$10.0	$120.0	$25,000	$2,500	95.13%	0.25%	12.63%
Liberty Mutual	$10.0	$130.0	$25,000	$2,500	100.00%	0.25%	12.63%

Policy Period:	10/01/2025-10/01/2026					
Carrier	**Limit (MM)**	**XS (MM)**	**Premium**	**RPM**	**ILF**	**ROL**
Great American	$10.0	$2M SIR	$207,396	$20,740	N/A	2.0
Zurich	$10.0	$10.0	$107,000	$10,700	52%	1.0
Allianz	$10.0	$20.0	$65,500	$6,550	61%	0.6
CNA	$10.0	$30.0	$42,850	$4,285	65%	0.4
Old Republic	$10.0	$40.0	$40,000	$4,000	93%	0.4
Everest	$10.0	$50.0	$40,000	$4,000	100%	0.4
Arch	$10.0	$60.0	$40,000	$4,000	100%	0.4
Vantage	$10.0	$70.0	$39,500	$3,950	99%	0.4
Beazley	$10.0	$80.0	$40,000	$4,000	101%	0.4
Swiss Re	$10.0	$90.0	$40,000	$4,000	100%	0.4
Chubb- Lead Side-A	$10.0	$100.0	$37,000	$3,700	93%	0.3
Travelers	$10.0	$110.0	$28,026	$2,803	76%	0.2
AWAC	$10.0	$120.0	$26,000	$2,600	93%	0.2
Liberty Mutual	$10.0	$130.0	$26,000	$2,600	100%	0.2

Thanks,

Michelle Mongiello, MBA, CPCU
Senior Underwriter
Financial Lines

Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Office: 857-224-7433 (Preferred)
Cell: 516-560-9550

From: Mongiello, Michelle
Sent: Wednesday, September 17, 2025 11:12 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Reliance, Inc. Renewal- $10M xs $130M Side-A DIC

Hi Rick,

I am working with Michele Cowen and Bella Allison at Aon on this year's renewal. We got on this one new in 2023 after leveraging our overall LM relationship, which is currently at $17.4M. Aon did reach out on high excess ABC opportunities, but it is below our RPM. We've discussed this one before and how cheap the program is, the only way it would make sense to get on the ABC would be the first few ABC layers. I spoke with the broker to get ahead of things and right now she is anticipating a flat renewal on the Side-A. I would have liked to have seen an increase, but looks like markets on the ABC were pushing for rate given the very thin pricing. We are below minimums on the Side-A DIC, but the pricing has been $25k since getting on risk. This is one we shouldn't give a decrease on. I propose we come in flat as long as the remaining underlying agree. I have already set the expectation with Aon that we are already below minimums and this is the floor for us here. Reliance, Inc. delivered record tons sold in both the second quarter and first six months of 2025, with healthy demand in core end markets. However, lower average selling prices and increased operating expenses resulted in declines in operating income, net income, and cash flow from operations compared to the prior-year periods. The company maintained strong gross profit margins and continued its long history of shareholder returns through dividends and share repurchases, while keeping a solid balance sheet and liquidity position. Tariffs have been a net positive or at least mixed but manageable headwind for Reliance so far: they have helped lift pricing, given margin cushion, and bolstered the competitive position of a domestically-anchored service center. Reliance has been able to leverage its domestic sourcing to mitigate downside risk. However, the benefits may not all be long term. The company's commentary and data show that some of the gains were temporary (e.g. price peaks), and that demand could be undercut if input or final-product price increases suppress usage, particularly in construction and manufacturing, so something to keep an eye on. Please let me know your thoughts. I will keep you posted on how things ultimately shape up, but wanted to get ahead of this one based on my discussions with Aon so far.

Here is the tower for reference:

Account Name:	Reliance Steel & Aluminum Co.						
Policy Period:	10/01/2024-10/01/2025						
Carrier	Limit (MM)	XS (MM)	Premium	RPM	ILF	ROL	ROP
Great American	$10.0	$2M SIR	$198,015	$19,802	N/A	0.0198	N/A
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Allianz	$10.0	$20.0	$65,500	$6,550	62.38%	0.66%	33.08%
CNA	$10.0	$30.0	$42,850	$4,285	65.42%	0.43%	21.64%
Old Republic	$10.0	$40.0	$38,415	$3,842	89.65%	0.38%	19.40%
Everest	$10.0	$50.0	$35,966	$3,597	93.62%	0.36%	18.16%
Arch	$10.0	$60.0	$35,000	$3,500	97.31%	0.35%	17.68%
Canopius	$10.0	$70.0	$34,000	$3,400	97.14%	0.34%	17.17%
Markel	$10.0	$80.0	$34,000	$3,400	100.00%	0.34%	17.17%
Swiss Re	$10.0	$90.0	$34,000	$3,400	100.00%	0.34%	17.17%
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Travelers	$10.0	$110.0	$26,279	$2,628	77.29%	0.26%	13.27%
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Policy Period:	10/01/2025-10/01/2026					
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Old Republic	$10.0	$40.0	$40,000	$4,000	93%	0.4
Everest	$10.0	$50.0	$40,000	$4,000	100%	0.4
Arch	$10.0	$60.0	$40,000	$4,000	100%	0.4
Canopius	$10.0	$70.0		$0	0%	0.0
TBD	$10.0	$80.0		$0	#DIV/0!	0.0
Swiss Re	$10.0	$90.0		$0	#DIV/0!	0.0
Chubb- Lead Side-A	$10.0	$100.0	$34,000	$3,400	#DIV/0!	0.3
Travelers	$10.0	$110.0	$26,279	$2,628	77%	0.2
AWAC	$10.0	$120.0	$25,000	$2,500	95%	0.2
Liberty Mutual	$10.0	$130.0	$25,000	$2,500	100%	0.2

Rating Considerations		
Commision	15.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	-	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground-up Severity	Defense Costs	Exp Loss in Layer	Freq x Exp Loss in Layer
USD 10m xs 130m		130,000,000	10,000,000	100%	Side A DIC	25,000		0.9%	55.0%	25.4%	0.13%	117.7	17.7	9.7	12,773
Custom layer															
Custom layer															
Custom layer															
Custom layer															

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

ART Tool:

Account Name Search Results for **RELIANCE, INC. (LM-6-067480)** as of **8/31/2025**
Client Executive: Kenneth M Branigan (RELIANCE STEEL & ALUMINUM CO)

Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter	$
Grand Total									
RELIANCE STEEL & ALUMINUM CO. (LM-6-067480) <Wholesale Trade-Durable Goods; Metals Service Centers and Offices>	AON RISK INSURANCE SERVICES WEST INC, LOS ANGELES, CA	RELIANCE, INC. (6-067480) PASADENA, CA	Major Accounts	Excess Casualty	GL > GL UMBRELLA (UMB LEAD)	October 1, 2025	TH7661067480064	Null	
				Risk Management	Auto Lines > AUTO LIABILITY (AUTO)	October 1, 2025	AS2661067480054	SCOTT, KELSEY	
					GL > GL X-UMBRELLA (GL)	October 1, 2025	TB2661067480044	SCOTT, KELSEY	
					WC Lines > WORKERS COMPENSATION EXCESS (WC)	October 1, 2025	EW266N067480014	SCOTT, KELSEY	
					WC Lines LDD > Workers Compensation LDD (WC)	October 1, 2025	WA566D067480024	Null	
		RELIANCE, INC. (9-472219) PASADENA, CA	Major Accounts	Large Property	Property > MONO-LINE PROPERTY (PROP)	October 1, 2025	YACL9L472219014	LAN, RYAN	
		RELIANCE, INC. (RELI1790) PASADENA, CA	Specialty	D&O	Management Liability > D&O - DIC - Side A (IS D&O)	October 1, 2025	DO6NACV1PA002	DOS SANTOS, TIAGO	
	AON RISK SERVICES NORTHEAST INC, NEW YOR..	RELIANCE STEEL & ALUMINUM CO. (RELI1453) LOS ANGELES, CA	Specialty	GTS	GTS > Reps and Warranties (IS M&A)	September 30, 2027	ACBNZR001	WOLFE, MARC-ANDRE	
	AON REED STENHOUSE INC., TORONTO, ON	RELIANCE STEEL & ALUMINUM CO. (RELI1816) EDMONTON, AB	Canada	Auto	Commercial Insurance > Auto (CAN)	October 1, 2025	AC1661067481024	SANTOS, MITZI	
		RELIANCE STEEL & ALUMINUM CO. (RELI1817) EDMONTON, AB	Canada	Auto	Commercial Insurance > Auto (CAN)	October 1, 2025	AH1661067481044	SANTOS, MITZI	
		RELIANCE STEEL & ALUMINUM CO. (RELI1818) EDMONTON, AB	Canada	Auto	Commercial Insurance > Auto (CAN)	October 1, 2025	AQ1661067481034	SANTOS, MITZI	
		RELIANCE STEEL & ALUMINUM CO. (RELI1820) EDMONTON, AB	Canada	Auto	Commercial Insurance > Auto (CAN)	October 1, 2025	KE1661067481014	SANTOS, MITZI	
		RELIANCE, INC. (6-067480) PASADENA, CA	Major Accounts	Risk Management	Auto Lines > AUTO LIABILITY (AUTO)	October 1, 2025	AC1661067481024	SCOTT, KELSEY	
					Auto Lines > AUTO PHYSICAL DAMAGE (AUTO)	October 1, 2025	AC1661067481024	SCOTT, KELSEY	
					GL > GL X-UMBRELLA (GL)	October 1, 2025	KE1661067481014	SCOTT, KELSEY	

Russia/Ukraine exposure: N/A- I could not find any direct exposure to these areas given the company being a part of the steel industry.

Overview

Reliance, Inc. operates as a diversified metal solutions provider and metals service center company primarily in the United States and Canada. It distributes a line of metal products, including alloy, aluminum, brass, copper, carbon steel, stainless steel, titanium, and other specialty steel products; and provides metals processing services to consumer products, general manufacturing, non-residential construction, transportation, aerospace, energy, electronics and semiconductor fabrication, industrial machinery, and heavy industries. The company sells its products directly to original equipment manufacturers, which primarily include small machine shops and fabricators. The company was formerly known as Reliance Steel & Aluminum Co. and changed its name to Reliance, Inc. in February 2024. Reliance, Inc. was founded in 1939 and is based in Scottsdale, Arizona.

As of December 31, 2024, approximately 12% of their employees were represented by unions under collective bargaining agreements. Approximately four percent of their employees are covered by 21 different collective bargaining agreements that expire in 2025 unless renewed. Reliance has entered into collective bargaining agreements with 40 union locals at 48 of their locations. These collective bargaining agreements have not had a material impact on revenues or profitability. From time to time, their collective bargaining agreements expire and come up for renegotiation.

Tariff Commentary

Several executives and analysts discussed tariffs and their influence throughout the Q2 2025 earnings call for Reliance, Inc. Key points are summarized below:

Tariff-Driven Demand and Pricing Momentum

- Reliance experienced "strong tariff-driven momentum for both demand and pricing near the end of the first quarter" leading to a 6.1% increase in average selling price per ton sold in Q2, which was double the high end of their expectation,
- Pricing for many carbon and aluminum products peaked in April, attributed in part to tariff activity, but then declined for the rest of Q2.

Effects on Gross Profit Margin and Inventory Costs

- The trade environment, including tariffs, contributed to "gross profit margin compression in Q2" as inventory costs exceeded replacement costs due to price peaks.
- Reliance expects continued pressure on gross profit margins in Q3, with uncertainty in tariffs holding back some customer buying activity.

Customer Behavior and Uncertainty

- Customers showed hesitance in buying due to "tariff uncertainty," with some holding back purchases in hopes of greater clarity, which disrupted Reliance's usual ability to pass price increases through to the market.
- For aluminum, specifically, the Midwest premium rose to $0.70, and customers "may just buy a little bit less and a little more frequently," benefiting Reliance's next-day delivery model.

Reliance's Competitive Advantage

- The company's practice of sourcing metal primarily from domestic mills and operating in the U.S. is considered a "strong competitive advantage in the current trade environment."
- Reliance expects that once tariff uncertainties are resolved, both the company and the industry will benefit from increased buying and market activity.

Management's Outlook

- Management acknowledged the environment was "a bit unique in Q2" with tariff uncertainty and expects similar conditions in Q3, but is confident in returning to more normal patterns once uncertainties are resolved.

Aluminum Pricing and Tariffs

- Executives highlighted that "aluminum prices have gone up fast and furious" due in part to tariff-related impacts, and that while acceptance is somewhat cautious, customers are compelled to pay higher prices due to business requirements, though they may adjust buying patterns.

Stock Performance

Current Price: $288.58
Market Cap: $15.27B
Beta: 0.87
% of float shorted: 1.91%

- 1 Year:

- 2 Years:

- 5 Years:

Over the past 1 year, Reliance stock is up over 4%. Here are some notable stock drops over the past 12 months:

- 12/11/2024-12/18/2024: The stock price dropped by 12%. The stock price drop was likely caused by the announcement that Mark V. Kaminski, a long-serving director since 2004, has notified Reliance, Inc. of his intention not to stand for reelection at the 2025 Annual Meeting and will retire from the board. Although the company stated his retirement is not due to any disagreement with management or company practices, the departure of a long-tenured board member can create uncertainty for investors.

- 04/02/2025-04/09/2025: The stock price dropped by 11%. The stock price drop appears to be linked to disclosures in the press release that the company ranked only at the 36th percentile for revenues and 48th percentile for pretax income margin compared to its executive compensation peer group in 2024, indicating underperformance relative to peers. Additionally, the announcement of executive base salary increases of up to 5.2% for Named Executive Officers during a period of declining metal prices and inflationary headwinds may have raised concerns among investors about cost management and alignment with shareholder interests. The benchmark index Vanguard World Fund - Vanguard Industrials ETF (VIS) dropped by 13%. This stock price drop was tied to the benchmark index.

- 07/23/2025-07/30/2025: The stock price dropped by 14%. The stock price drop was likely caused by the significant decline in both net income and operating income compared to the prior year, as detailed in the report: net income for the first six months of 2025 was $433.4 million versus $570.7 million in 2024, and operating income for the same period fell by 21.2%, primarily due to lower metals pricing and gross profit margin despite record sales volumes. Additionally, the

report highlights increased volume-related expenses and a lower average selling price per ton sold, further pressuring margins and profitability. The benchmark index Vanguard World Fund - Vanguard Industrials ETF (VIS) didn't drop in this period. This stock price drop was not tied to the benchmark index.

Reliance stock remains a Buy with a 1Y price target of $328.80 per share. Reliance currently pays out an annual dividend of $4.80 to shareholders compared to the Materials Industry average dividend of $0.16. They have a track record of increasing their dividend for the past 15 years with a dividend payout ratio of 35.04%. On October 22, 2024, Reliance's Board of Directors amended their share repurchase program to replenish the repurchase authorization to $1.5B. The share repurchase program does not obligate them to repurchase any specific number of shares, does not have a specific expiration date and may be suspended or discontinued at any time. Repurchased and subsequently retired shares are restored to the status of authorized but unissued shares. Returns to stockholders in the first six months of 2025 totaled $461.4 million, comprised of $333.1 million of share repurchases and $128.3 million of cash dividends, compared to $647.2 million in the same period in 2024, comprised of $519.3 million of share repurchases and $127.9 million of cash dividends. Insiders currently hold ~0.35% of shares and selling has been minimal over the past 12 months ($16.21M).The two largest institutional shareholders are Blackrock and Vanguard. Over the past 12 months, Reliance, Inc. hasn't been a consistent winner — it's had its ups and downs. While some recent strength, driven by operational resilience (good margins, solid volume in places) and strategic moves like acquisitions is encouraging, there are still challenges. Margins are under pressure, and much depends on how well the company navigates cost pressures, maintains demand, and executes on its growth initiatives.

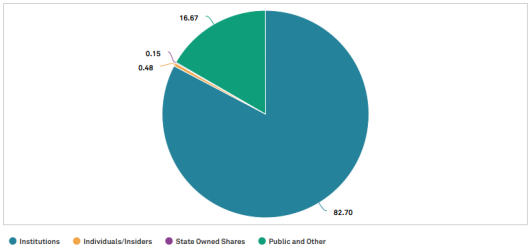
Ownership Summary

Type	Common Stock Equivalent Held	Percent of Common Shares Outstanding (%)	Market Value ($M)
Institutions	43,495,583	82.70	12,552.0
Corporations (Private)	505	0.00	0.1
Individuals/Insiders	251,929	0.48	72.7
State Owned Shares	76,818	0.15	22.2
Public and Other	8,768,708	16.67	2,530.5
Total	**52,593,543**	**100.00**	**15,177.4**

Float Summary

Reliance Inc.	
Standardized Data	
Sep-17-2025	
Company Employees/ Individual Insiders	251,929
+ Strategic Corporate Investors	505
+ State Owned Shares	76,818
= Total Shares Excluded From Float	329,252
Free Float Shares	52,264,291
/ Shares outstanding	52,593,543
= Float%	99

Summary: Percent of Common Shares Outstanding (%)



Financial Performance

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	12/31/2023	12/31/2024		6/30/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$1,080	$318	-71%	$240
Current Assets	$4,772	$3,896	-18%	$4,293
Total Assets	$10,480	$10,022	-4%	$10,490
Current Liabilities	$844	$1,213	44%	$1,348
Long Term Debt	$1,142	$743	-35%	$1,026
Working Capital	$3,928	$2,683	-32%	$2,945
Income Statement				
Revenues	$14,806	$13,835	-7%	$3,660
Operating Income	$1,746	$1,188	-32%	$319
Net Income	$1,336	$875	-34%	$234
Gross Margins (%)	$31	$30	-3%	$30
Cash Flow Statement				
Operating Cash Flow	$1,671	$1,430	-14%	$229

Q2 2025 Results

- Net sales for the three months ended June 30, 2025 were $3,659.8 million, a slight increase of 0.5% from $3,643.3 million in the prior-year quarter. For the six months ended June 30, 2025, net sales were $7,144.5 million, down 2.0% from $7,288.1 million in the same period of 2024. This decrease was primarily attributed to a lower average selling price per ton sold, despite an increase in tons sold to record levels.
- Gross profit for the quarter was $1,087.9 million (29.7% margin), consistent with the previous year's $1,086.0 million (29.8% margin). For the six months, gross profit was $2,121.2 million (29.7% margin), down from $2,214.2 million (30.4% margin) in 2024.
- Operating income was $312.2 million (8.5% margin) for the quarter, down from $351.7 million (9.7% margin) in 2024. For the six months, operating income was $586.6 million (8.2% margin), compared to $744.8 million (10.2% margin) in the prior year. The decline was mainly due to higher volume-related expenses and lower metals pricing.
- Net income attributable to Reliance for the quarter was $233.7 million (6.4% margin), down from $267.8 million (7.4% margin) in 2024. For the six months, net income was $433.4 million (6.1% margin), compared to $570.7 million (7.8% margin) in the prior year.
- Diluted earnings per share were $4.42 for the quarter and $8.15 for the six months, compared to $4.67 and $9.90 in the prior-year periods, respectively.

Key Operating Metrics

- Tons sold for the quarter were 1,615.0 thousand, up 4.0% from 1,553.5 thousand in 2024. For the six months, tons sold were 3,243.9 thousand, up 6.4% from 3,047.5 thousand. This demonstrates robust demand, particularly in non-residential construction.
- Average selling price per ton sold for the quarter was $2,273, down 3.2% from $2,348 in 2024. For the six months, the average was $2,208, down 7.8% from $2,394 in 2024.

Expense and Margin Analysis

- SG&A expense for the quarter was $706.0 million (19.3% of net sales), up from $667.7 million (18.3%) in the prior-year quarter, driven by inflationary wage adjustments and increased warehousing and delivery costs.
- SG&A expense for the six months was $1,396.2 million (19.5% of net sales) versus $1,339.2 million (18.4%) in 2024.

- Gross profit margins remained strong at 29.7% for both periods, despite metals pricing volatility.
- Operating income margins declined to 8.5% for the quarter and 8.2% for the six months, reflecting lower average selling prices and higher expenses.

Liquidity Position

- As of June 30, 2025, Reliance, Inc. had $239.5 million in cash and cash equivalents, compared to $318.1 million as of December 31, 2024. The decrease is primarily due to investing and financing activities during the first half of the year.
- The company also has access to a $1.5 billion unsecured revolving credit facility, with $282.0 million outstanding and approximately $1.22 billion available for borrowing as of June 30, 2025. This substantial credit facility provides significant additional liquidity.
- Net cash provided by operating activities for the six months ended June 30, 2025 was $293.5 million, a decrease from $492.6 million for the same period in 2024. The decline was mainly driven by lower net income and increased working capital investment due to rising metals prices.

Debt and Capital Structure

- Reliance's net debt-to-total capital ratio was 14.1% at June 30, 2025, up from 10.2% at December 31, 2024. The increase is attributable to higher debt borrowings, mainly on the revolving credit facility, and a decrease in cash balances.
- The company had $401.1 million of debt obligations due before the revolving credit facility's maturity in September 2029, including $400.0 million of senior notes due in August 2025. Management stated that they believe they will have sufficient liquidity to meet these obligations as they come due.

Liquidity Outlook and Management's Assessment

- Management believes that primary sources of liquidity—including funds generated from operations, cash and cash equivalents, and the revolving credit facility—will be sufficient to satisfy cash requirements and shareholder return activities over the next 12 months and beyond.
- Additionally, Reliance expects to continue to have access to capital markets and maintains investment grade credit ratings, which further support liquidity.

Other Notable Items

- Reliance was in compliance with all financial covenants under its credit agreement as of June 30, 2025 **2**
- Goodwill totaled $2,170.4 million (21% of total assets, 30% of total equity), and intangible assets, net, were $988.7 million (9% of assets, 14% of equity)
- Reliance, Inc. has repurchased over 1.2 million shares year-to-date.
- Total debt as of June 30 stands at $1.43 billion, with a $48 million reduction in Q2.
- Reliance, Inc. expresses caution for Q3 guidance, noting potential pricing weaknesses.
- Gross profit margin expected to continue facing pressure in Q3 due to market uncertainties.
- Price increases on some products linked to tariff-related uncertainties from suppliers.

Outlook

- Reliance anticipates a 1-3% decrease in tons sold in Q3 2025 compared to Q2 2025, but a 3-5% increase compared to Q3 2024.
- The company expects pressure on gross profit margin in Q3 2025 due to market uncertainties.
- Reliance remains optimistic about growth amid market uncertainties and improving demand and pricing environments.
- A base price increase on stainless was implemented near the end of Q2 2025, expected to impact Q3 positively.
- The company is confident about gaining market share and improving utilization of its investments.

Company Strategy

- Reliance's strong cash flow supports investments in advanced processing equipment and strategic acquisitions, enhancing growth in diverse markets.
- Reliance plans to spend between $360 million to $380 million in 2025, completing carryover projects from previous years.
- Reliance's strategy focuses on long-term success and disciplined value creation for stakeholders.
- Increased shipments due to market share gains from a smart profitable growth strategy and ongoing investments in organic growth.
- Reliance remains committed to domestic metal sourcing, leveraging its industry-leading scale and strong financial position to attract mill suppliers.

External Factors

- Reliance, Inc. navigated macroeconomic uncertainties, continuing to explore acquisition opportunities to expand in value-added metal solutions.
- Anticipated Q3 weakness due to market uncertainties, yet confident in leveraging improving demand and pricing, buoyed by reshoring in key markets.
- Q2 saw a slight decline in tons sold by 0.9%, influenced by earlier demand due to tariff activities.
- Semiconductor industry pressures persisted in Q2, stemming from excess supply chain inventory.
- For Q3, stable demand expected across diverse markets, albeit moderated by seasonal customer downtimes and ongoing trade and economic policy uncertainties.

Products & Services

- Reliance's shipments increased due to market share gains from a strategic growth approach and continued organic investments.
- General manufacturing, a third of Q2 2025 sales, showed strong performance in rail, ship transportation, and heavy construction equipment sectors.
- Commercial aerospace demand remained stable, while defense-related aerospace and space programs continued to show strong demand levels.
- New customer acquisition and market share growth were driven by Reliance's extensive value-added processing capabilities and high-quality product offerings.
- Non-residential construction, particularly data centers, saw new activities and projects, buoyed by internal product use and the sector's electrification.

M&A

Reliance acquired each of Cooksey Iron & Metal Company on February 1, 2024; American Alloy Steel, Inc. and Mid-West Materials, Inc. on April 1, 2024; and certain assets of the FerrouSouth division of Ferragon Corporation on August 16, 2024, with cash on hand. Included in their net sales for the first six months of 2025 and 2024 were combined net sales of $193.9 million and $115.1 million, respectively, from their 2024 acquisitions.

Litigation

I checked our loss runs and we had a few claims reported to us, which appear to be EPL claims. These are all closed with nothing paid out. Per their recent 10-K/10-Q filings, they are not currently a party to any pending legal proceedings other than routine litigation incidental to the business.

Management Team/BOD

- CEO & President: Karla Lewis- She has been with the company for over 30 years and served in various leadership roles at Reliance, which include Controller and CFO. She was named CEO and President in January 2023 after the former CEO (James Hoffman) announced his retirement. She also serves on the BOD at Goodyear Tire & Rubber Co. since 2021.
- CFO & SVP: Arthur Ajemyan- He became CFO in January 2021 and had been Corporate Controller since August 2012. During his tenure at Reliance, he has held various positions in the accounting and finance departments at Reliance, including Group Controller and Director of Financial Reporting. He is a CPA.
- COO & EVP: Stephen Koch- He was promoted to Executive Vice President and Chief Operating Officer in July 2022 after having served as Senior Vice President, Operations since April 2010. From July 2007 until he joined Reliance Corporate Operations, he was president of Chapel Steel Corp., a subsidiary of Reliance. Prior to that he held various positions at Chapel Steel Corp., from sales manager to VP, to EVP.
- CIO & VP: Scott Ramsbottom- He has been in the role since November 2024 and served as CIO and EVP at Anixter International since February 2015.
- General Counsel, Corporate Secretary and SVP: William Smith II- He has been in the role since May 2015 and joined the company in 2013 as the result of Reliance's acquistion of Metals USA. During his time at Metals USA Holdings Corp., he served as SVP, CLO and Secretary. Prior to that, he served as SVP, GC and Secretary and Director of Corporate Development of Cross Match Technologies, Inc., and he was a partner in the corporate and securities practice group of the international law firm of DLA Piper. He earned his J.D. from Georgetown University Law Center.

BOD:

- Douglas Stotlar- He has been Chairman of the Board since January 2025 and is the former CEO, President and Director of Con-way Inc.

- Karla Lewis- Reliance's CEO & President.
- James K. Kamsickas- He was appointed as a director of Reliance in October 2024. He is the former chairman and chief executive officer of Dana Incorporated.
- Lisa Baldwin- Managing Director of Elliott Management Corporation and former CIO of Tiffany & Co.
- Karen Colonias- Former President and CEO of Simpson Manufacturing Company Inc.
- Frank Dellaquila- CFO and Senior EVP of Emerson Electric Co.
- Robert McEvoy- Former Managing Director at Goldman Sachs Group, Inc.
- David Seeger- Former President of Atlas Tube, a division of JMC Steel Group.
- Douglas Stotlar- Former CEO & President of Con-way Inc. He also serves as a director at AECOM and LSC Communications, Inc.

*On December 17, 2024, Mark V. Kaminski provided notice to Reliance, Inc. of his intention not to stand for reelection at the Company's 2025 Annual Meeting of Stockholders due to retirement, which was not due to any disagreement with the Company on any matter relating to the Company's operations, policies, or practices.. Mr. Kaminski remained a director and maintain his committee memberships through the 2025 Annual Meeting.

Thanks!

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